NOVATECH CORPORATION

Annual Report & Form 10-K

Fiscal Year Ended December 31, 2024

Ticker Symbol	NVT (NASDAQ)
CIK Number	0001823456
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Period of Report	January 1, 2024 – December 31, 2024
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Fiscal Year End	December 31
State of Incorporation	Delaware
Principal Office	2100 Innovation Drive, San Jose, CA 95131
Auditor	Deloitte & Touche LLP

UNITED STATES SECURITIES AND EXCHANGE COMMISSION

Washington, D.C. 20549

PART I

Item 1. Business Overview

NovaTech Corporation ("NovaTech", "the Company", "we", "our") is a leading global provider of enterprise cloud infrastructure, artificial intelligence solutions, and cybersecurity platforms. Founded in 2008 and headquartered in San Jose, California, NovaTech serves over 18,000 enterprise customers across 65 countries, including 94 of the Fortune 100 companies.

Our products and services are organized into three primary reportable segments: (1) Cloud Infrastructure Services, (2) Artificial Intelligence & Data Analytics, and (3) Cybersecurity Solutions. During fiscal year 2024, we completed the acquisition of DataStream AI, Inc. for a total consideration of $2.3 billion, significantly expanding our machine learning capabilities and data pipeline offerings.

Business Segments

Segment	FY2024 Revenue	YoY Growth	Operating Margin
Cloud Infrastructure Services	$8.42B	+18.3%	31.2%
AI & Data Analytics	$4.17B	+41.5%	24.8%
Cybersecurity Solutions	$2.89B	+22.7%	28.1%
Total	**$15.48B**	**+24.6%**	**29.4%**

Products and Services

NovaTech Cloud Platform (NCP): Hyperscale cloud compute, storage, and networking with 99.999% SLA uptime guarantee across 24 global regions.

NovaMind AI Suite: End-to-end machine learning platform supporting model training, fine-tuning, deployment, and real-time inference at scale.

NovaShield Cybersecurity: Zero-trust network access, threat detection, and SOC-as-a-service offerings protecting 2.4 million endpoints globally.

NovaData Analytics: Real-time streaming analytics, data warehousing, and business intelligence powered by proprietary columnar storage engine.

Item 1A. Risk Factors

Investing in our common stock involves a high degree of risk. You should carefully consider the following risk factors, together with all other information in this Annual Report. If any of the following risks actually occur, our business, financial condition, results of operations, and future prospects could be materially adversely affected.

Macroeconomic and Geopolitical Risk

Global economic uncertainty, inflationary pressures, and geopolitical tensions — particularly in the Asia-Pacific region — could reduce enterprise IT spending, delay purchasing decisions, and adversely affect our revenue growth. In FY2024, approximately 31% of our revenue was derived from customers outside North America, exposing us to foreign exchange risk and regional regulatory changes.

Intense Market Competition

We operate in highly competitive markets against well-resourced companies including large hyperscale cloud providers, established enterprise software vendors, and well-funded startups. Competitive pricing pressure, rapid technological change, and shifting customer preferences could reduce our market share or compress our operating margins.

Cybersecurity and Data Privacy Risk

As a provider of cybersecurity solutions, we are a high-profile target for sophisticated cyberattacks. A breach of our own systems or failure of our security products could result in regulatory penalties, customer attrition, and significant reputational harm. We maintain cyber liability insurance with coverage up to $500 million, though this may be insufficient to cover all potential losses.

Dependence on Key Personnel

Our success depends on our ability to attract and retain highly skilled engineers, data scientists, and product managers in a competitive talent market. The loss of key executives, including our CEO Dr. Priya Sharma and CTO Marcus Chen, could disrupt operations and adversely affect our strategic initiatives.

Regulatory and Compliance Risk

We are subject to evolving data protection regulations including GDPR, CCPA, the EU AI Act, and sector-specific regulations in financial services, healthcare, and government. Non-compliance could result in fines of up to 4% of global annual revenue and restrictions on our operations in key markets.

Acquisition Integration Risk

The $2.3 billion acquisition of DataStream AI, Inc. in Q2 2024 involves significant integration risks including cultural alignment, technology stack consolidation, and customer retention. Failure to realize anticipated synergies of approximately $340 million over three years could adversely affect our financial results and stock price.

PART II

Item 7. Management Discussion & Analysis of Financial Condition and Results of Operations

Executive Summary

Fiscal year 2024 was a landmark year for NovaTech Corporation. We achieved record total revenue of $15.48 billion, representing 24.6% year-over-year growth, driven by strong enterprise adoption of our AI and cloud offerings. Our Annual Recurring Revenue (ARR) reached $12.1 billion, up 29% from $9.4 billion in FY2023. Net income attributable to NovaTech shareholders was $3.21 billion, or $4.87 per diluted share, compared to $2.44 billion, or $3.71 per diluted share, in FY2023.

Key operational highlights for FY2024 include: (i) customer count grew 19% to 18,247 enterprise accounts; (ii) Net Revenue Retention (NRR) remained strong at 118%, reflecting healthy upsell and cross-sell momentum; (iii) we expanded our global data center footprint by adding 4 new regions (Mumbai, São Paulo, Johannesburg, and Warsaw); and (iv) Research & Development investment increased to $2.87 billion, representing 18.5% of total revenue.

Revenue Analysis

Revenue Category	FY2024	FY2023	FY2022	YoY Change
Subscription Revenue	$11.84B	$9.21B	$7.03B	+28.6%
Professional Services	$2.17B	$1.89B	$1.52B	+14.8%
Marketplace & Other	$1.47B	$1.32B	$0.98B	+11.4%
Total Revenue	$15.48B	$12.42B	$9.53B	+24.6%
Gross Profit	**$10.84B**	**$8.54B**	**$6.49B**	**+26.9%**
Gross Margin %	**70.0%**	**68.8%**	**68.1%**	**+120 bps**

Operating Expenses

Total operating expenses for FY2024 were $11.33 billion, compared to $9.28 billion in FY2023. The increase reflects higher R&D; investment, expanded sales force headcount (up 23% to 8,420 quota-carrying representatives), and $340 million in acquisition-related amortization and integration costs associated with DataStream AI.

Operating Expense	FY2024	FY2023	% of Revenue
Cost of Revenue	$4.64B	$3.88B	30.0%
Research & Development	$2.87B	$2.11B	18.5%
Sales & Marketing	$2.63B	$2.09B	17.0%

General & Administrative	$0.86B	$0.74B	5.6%
Acquisition-related costs	$0.34B	$0.46B	2.2%
Total Operating Expenses	**$11.34B**	**$9.28B**	**73.3%**
Operating Income	**$4.14B**	**$3.14B**	**26.7%**

Item 8. Financial Statements

Consolidated Income Statement

(In millions USD, except per share data) — Fiscal Years Ended December 31

	FY2024	FY2023	FY2022
REVENUE			
Subscription revenue	$11,842	$9,210	$7,034
Professional services	$2,171	$1,891	$1,518
Marketplace & other	$1,467	$1,319	$978
Total Revenue	**$15,480**	**$12,420**	**$9,530**
COST OF REVENUE			
Cost of subscription	$2,842	$2,344	$1,874
Cost of services	$1,798	$1,536	$1,181
Total Cost of Revenue	**$4,640**	**$3,880**	**$3,055**
Gross Profit	**$10,840**	**$8,540**	**$6,475**
Gross Margin	**70.0%**	**68.8%**	**68.0%**
OPERATING EXPENSES			
Research & development	$2,869	$2,112	$1,654
Sales & marketing	$2,632	$2,094	$1,724
General & administrative	$866	$738	$602
Acquisition-related costs	$336	$462	$84
Total Operating Expenses	**$6,703**	**$5,406**	**$4,064**
Operating Income (EBIT)	**$4,137**	**$3,134**	**$2,411**
Operating Margin	**26.7%**	**25.2%**	**25.3%**
Interest income	$287	$198	$112
Interest expense	($143)	($167)	($198)
Other income (expense), net	**$42**	**($18)**	**$31**
Income Before Taxes	$4,323	$3,147	$2,356
Income tax provision	**($1,113)**	**($710)**	**($524)**
Net Income	**$3,210**	**$2,437**	**$1,832**

Earnings Per Share – Basic	$4.98	$3.84	$2.91
Earnings Per Share – Diluted	$4.87	$3.71	$2.81
Weighted avg shares – Diluted	**659M**	**657M**	**652M**

Consolidated Balance Sheet

(In millions USD) — As of December 31

ASSETS	FY2024	FY2023
Current Assets		
Cash and cash equivalents	$4,218	$3,142
Short-term investments	$2,876	$2,341
Accounts receivable, net	$2,143	$1,874
Deferred contract costs, current	$487	$412
Prepaid expenses and other	$634	$521
Total Current Assets	**$10,358**	**$8,290**
Non-Current Assets		
Property, plant & equipment, net	$3,241	$2,876
Operating lease right-of-use assets	$1,124	$987
Goodwill	$6,834	$4,721
Intangible assets, net	$2,187	$1,634
Long-term deferred contract costs	$743	$624
Other non-current assets	$412	$334
Total Non-Current Assets	**$14,541**	**$11,176**
TOTAL ASSETS	**$24,899**	**$19,466**
LIABILITIES & STOCKHOLDERS' EQUITY		
Current Liabilities		
Accounts payable	$687	$542
Accrued compensation	$1,124	$934
Deferred revenue, current	$3,842	$3,187
Current portion of long-term debt	$500	$500
Other current liabilities	$743	$621
Total Current Liabilities	**$6,896**	**$5,784**
Non-Current Liabilities		
Deferred revenue, non-current	$1,243	$987
Long-term debt, net	$4,214	$4,698
Operating lease liabilities	$987	$843
Other non-current liabilities	**$621**	**$487**

Total Non-Current Liabilities	**$7,065**	**$7,015**
TOTAL LIABILITIES	$13,961	$12,799
Stockholders' Equity		
Common stock (par value $0.001)	$1	$1
Additional paid-in capital	$8,432	$7,124
Retained earnings	$2,841	$1,632
Accumulated other comprehensive loss	**($336)**	**($90)**
Total Stockholders' Equity	**$10,938**	**$8,667**
TOTAL LIABILITIES & EQUITY	$24,899	$19,466

Consolidated Cash Flow Statement

(In millions USD) — Fiscal Years Ended December 31

	FY2024	FY2023
OPERATING ACTIVITIES		
Net income	$3,210	$2,437
Depreciation & amortization	$987	$812
Stock-based compensation	$1,124	$934
Amortization of deferred contract costs	$312	$267
Changes in operating assets & liabilities:		
Accounts receivable	($269)	($198)
Deferred contract costs	($306)	($241)
Accounts payable	$145	$87
Deferred revenue	$911	$743
Other, net	($134)	$43
Net Cash from Operating Activities	**$5,980**	**$4,884**
INVESTING ACTIVITIES		
Purchases of property & equipment	($1,243)	($987)
Purchases of investments	($2,134)	($1,876)
Maturities & sales of investments	$1,599	$1,432
Acquisition of DataStream AI, net of cash	($2,087)	$0
Other investing activities	($87)	($54)
Net Cash from Investing Activities	**($3,952)**	**($1,485)**
FINANCING ACTIVITIES		
Repayment of long-term debt	($500)	($500)
Proceeds from employee stock plans	$398	$321
Repurchase of common stock	($543)	($412)
Dividends paid	($307)	($0)
Net Cash from Financing Activities	**($952)**	**($591)**
Net Increase in Cash & Equivalents	**$1,076**	**$2,808**
Cash at Beginning of Period	**$3,142**	**$334**
Cash & Equivalents at End of Period	**$4,218**	**$3,142**

Free Cash Flow (Operating – CapEx)	**$4,737**	**$3,897**
Free Cash Flow Margin	30.6%	31.4%

Selected Financial & Operating Metrics

Non-GAAP Financial Measures

In addition to GAAP results, NovaTech management uses non-GAAP financial measures to evaluate operating performance and make strategic planning decisions. The following table reconciles GAAP net income to non-GAAP operating income by excluding stock-based compensation, amortization of acquired intangibles, and acquisition-related costs.

Metric	FY2024	FY2023	FY2022
GAAP Operating Income	$4,137M	$3,134M	$2,411M
+ Stock-Based Compensation	$1,124M	$934M	$743M
+ Amortization of Intangibles	$487M	$312M	$198M
+ Acquisition-related costs	$336M	$462M	$84M
Non-GAAP Operating Income	**$6,084M**	**$4,842M**	**$3,436M**
Non-GAAP Operating Margin	**39.3%**	**39.0%**	**36.1%**
Adjusted EBITDA	**$7,071M**	**$5,654M**	**$4,059M**
Adjusted EBITDA Margin	**45.7%**	**45.5%**	**42.6%**

Key Operating Metrics

KPI	Q4 FY2024	Q3 FY2024	Q4 FY2023	YoY Change
Annual Recurring Revenue (ARR)	$12.1B	$11.3B	$9.4B	+29%
Total Enterprise Customers	18,247	17,634	15,342	+19%
Net Revenue Retention (NRR)	118%	116%	119%	-1 ppt
Customers > $1M ARR	1,243	1,187	986	+26%
Customers > $10M ARR	218	201	167	+31%
Average Contract Value (ACV)	$663K	$641K	$613K	+8%
R&D as % of Revenue	18.5%	18.2%	17.0%	+150 bps
Headcount (total)	24,312	23,841	19,876	+22%
of which: R&D	9,124	8,934	7,234	+26%
of which: Sales & Marketing	8,420	8,211	6,841	+23%

Notes to Financial Statements

Note 1 — Basis of Presentation

The consolidated financial statements have been prepared in accordance with U.S. Generally Accepted Accounting Principles (GAAP). The consolidated financial statements include the accounts of NovaTech Corporation and its wholly owned subsidiaries. All intercompany balances and transactions have been eliminated in consolidation.

Note 2 — Revenue Recognition (ASC 606)

We recognize revenue in accordance with ASC Topic 606, Revenue from Contracts with Customers. Subscription revenue is recognized ratably over the contract term, typically 1–3 years. Professional services revenue is recognized as services are performed using the input method. The aggregate transaction price allocated to remaining performance obligations was $18.4 billion as of December 31, 2024, of which approximately 54% is expected to be recognized in the next 12 months.

Note 3 — Business Combinations (DataStream AI Acquisition)

On April 15, 2024, NovaTech completed the acquisition of DataStream AI, Inc. for total consideration of $2.3 billion, comprising $1.8 billion in cash and $0.5 billion in NovaTech common stock. The acquisition was accounted for under ASC 805, Business Combinations. Goodwill of $1.6 billion was recognized, primarily attributable to expected synergies from integrating DataStream's real-time ML pipeline technology into the NovaMind AI Suite.

Note 4 — Debt and Credit Facilities

As of December 31, 2024, we had $4.7 billion of long-term debt outstanding, consisting of: $1.5B of 3.25% Senior Notes due 2027; $1.5B of 3.75% Senior Notes due 2029; $0.75B of 4.10% Senior Notes due 2031; and $0.95B of 4.50% Senior Notes due 2034. We also maintain a $2.0 billion revolving credit facility, undrawn as of year-end. The weighted average interest rate on our outstanding debt is 3.71%.

Note 5 — Share Repurchase Program

In November 2023, our Board of Directors authorized a share repurchase program of up to $2.0 billion. During FY2024, we repurchased 3.4 million shares for approximately $543 million at an average price of $159.71 per share. As of December 31, 2024, approximately $1.0 billion remained available under the authorization.

This Annual Report on Form 10-K contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. Actual results may differ materially from those projected. This is a synthetic document generated for demonstration purposes.